



United States
Attorney's Office
Eastern District of Virginia



Three people sentenced to prison for scheme to bill Medicare for millions of dollars in unnecessary medical equipment

Friday, May 23, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of Virginia

ALEXANDRIA, Va. – Three people have been sentenced to prison for their roles in a multi-million-dollar Medicare billing scheme.

According to court documents, in November 2018, Jeremie Vargas Ramirez, 50, of Vienna, Jordana Lee Arpa, 42, of Vienna, and several other business partners agreed to create Kynetic Medical Group, doing business as NOVA DME, a durable medical equipment (DME) supplier. Ramirez was the de facto owner of NOVA DME and handled the day-to-day business operations, including business development, advertising, marketing, and billing. Arpa and Ramirez agreed that Arpa would be named as President and CEO of NOVA DME to conceal from Medicare that Ramirez was NOVA DME's true owner.

NOVA DME was approved in June 2021 to operate as a Medicare provider based on Arpa's false statements, and Arpa, on behalf of NOVA DME, acknowledged Medicare's prohibition on direct solicitation to beneficiaries. Arpa's false statements facilitated the fraud scheme.

In early 2021, Ramirez enlisted Dennis William Karnes, 56, of Lake Elsinore, California, to help make NOVA DME more profitable. Karnes had worked in the DME industry since at least 2000 and had taught classes on wheelchair sales and billing. Ramirez asked Karnes for DME "leads," a list of insured customers who needed and were prescribed DME.

Karnes assisted in procuring "leads" from foreign-based coconspirators, but many of these leads were for Medicare beneficiaries who did not need or want DME. Karnes introduced Ramirez to co-conspirators in Mexico and Russia. Though the standard industry practice is to vet leads to ensure they are legitimate before billing Medicare or other insurers, Karnes and Ramirez knew the leads were not vetted. Based on the frequency of complaints and returns, they also knew that many of the leads were fraudulent, though NOVA DME still submitted claims for reimbursement to Medicare.

Karnes acted as a health care consultant to Ramirez and NOVA DME. Even though Karnes knew Ramirez and NOVA DME submitted claims for unnecessary and unwanted DME for Medicare beneficiaries, if Medicare denied a claim, Karnes often altered and resubmitted claims for approval.

Around February 2022, Karnes introduced Ramirez to a Russian-based co-conspirator who owns and controls multiple DME companies throughout the United States. Karnes also knew that all the owner's U.S.-based companies were eventually closed, some due to suspicions of billing fraud. From around January 2022 until June 2024, Karnes was responsible for transferring money on behalf of the companies because he was U.S. based and could conduct financial transactions without arousing as much suspicion as would a Russian-based businessperson. In addition to Karnes, a Russian-based associate was responsible for all Medicare billing for the companies.

From approximately February 2022 until December 2023, with Ramirez's permission, the Russian-based owner and associate submitted claims for Medicare beneficiaries on behalf of NOVA DME. Medicare sent payment for approved claims to NOVA DME via check or direct deposit. They then directed Karnes how much money to collect from Ramirez for the leads and where to send the money. At the Russian-based owner's direction, Karnes instructed Ramirez to make regular payments to the Russian-based owner via a shell company called Sharp Ventures, LLC, which facilitated the laundering of Medicare fraud proceeds to Russia and elsewhere outside the United States. The payments ranged from \$10,000 to \$50,000 on a roughly weekly basis.

DME recipients and their caretakers returned the DME and complained directly to Ramirez that they did not request or need the DME they received. Ramirez frequently relayed those reports of returned DME and customer complaints to Karnes.

From January 2022 through December 2023 NOVA DME billed Medicare approximately \$13,526,920 and was paid approximately \$7,610,462, of which at least \$4,060,000 to the Russian-based owner via Sharp Ventures, LLC at Karnes' direction. Over the same period, Medicare received at least 508 complaints from at least 491 Medicare beneficiaries about NOVA DME. The complainants reported beneficiaries did not receive services from the provider, did not know the provider, returned the items but did not receive a refunds, and suspected identity theft.

From this scheme, NOVA DME, Ramirez, and Arpa received at least \$2,256,787 in fraudulent proceeds from Medicare. Karnes personally profited at least \$888,500.

Ramirez pled guilty on Jan. 31 to conspiracy to commit healthcare fraud. On April 18, he was sentenced to two years in prison and ordered to pay restitution of \$2,256,787.

Karnes pled guilty on Jan. 31 to conspiracy to commit healthcare fraud. On May 2, he was sentenced to two years in prison and ordered to pay restitution of \$2,256,787.

Arpa pled guilty on Feb. 7 to conspiracy to making false statements relating to healthcare matters. She was sentenced today to six months in prison and ordered to pay restitution of \$2,256,787.

Erik S. Siebert, U.S. Attorney for the Eastern District of Virginia; Emily Odom, Special Agent in Charge of the FBI Washington Field Office's Criminal and Cyber Division; and Maureen R. Dixon, Special Agent in Charge of the Office of Inspector General for the U.S. Department of Health and Human Services (HHS), made the announcement after sentencing by Senior U.S. District Judge Claude M. Hilton.

Assistant U.S. Attorney Zachary H. Ray prosecuted the case.

A copy of this press release is located on the website of the [U.S. Attorney's Office](#) for the Eastern District of Virginia. Related court documents and information are located on the website of the [District Court](#) for the Eastern District of Virginia or on [PACER](#) by searching for Case Nos. 1: 25-CR-13 (Ramirez); 1: 25-CR-14 (Karnes); and 1: 25-CR-15 (Arpa).

Contact

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Topic

HEALTHCARE FRAUD

Components

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Related Content

PRESS RELEASE

U.S. Attorney’s Office announces charges against three defendants in the Eastern District of Virginia as part of national health care fraud takedown

The U.S. Attorney’s Office for the Eastern District of Virginia announced charges against three defendants as part of the Department of Justice’s 2026 National Health Care Fraud Takedown.

June 23, 2026

PRESS RELEASE

Victim Advisory- Divine Youth Case Updates

In January and February 2026, charges were filed against four defendants who allegedly operated a scheme to defraud Medicaid through a mental health agency known as Divine Youth Counseling, LLC.

March 11, 2026

PRESS RELEASE

Federal jury convicts North Chesterfield man for billing Medicaid for services he did not provide

A federal jury convicted George Nathaniel Boykins, 43, of North Chesterfield, today on charges of health care fraud and aggravated identity theft.

December 15, 2025



Eastern District of Virginia

Justin W. Williams United States Attorney's

